members. From 1 January 1958, they started to function officially.

Another landmark in the process of European integration was the Merger Treaty of 8 April, 1965, which came into force on 1 July 1967. The Treaty established a single executive for the ECSC, the EEC and Euratom, comprising the Council and Commission, based in Brussels. The European Community signalled the coming together of the institutions of the three organizations. There were also other significant developments. For example, 1969 saw the establishment of Customs Union and, in 1978, the European Currency Unit (ECU) was introduced.[19] In 1979 the first direct, democratic elections to the European Parliament were held.

In 1985, the Schengen Agreement created largely open borders without passport controls between most of the member states. In 1986, the European flag began to be used by the European Community. The other milestone towards integration was reached with the signing of the Single European Act (SEA) of 1986 which set 1 January 1993 as the date by which a full internal market was to be established. Through this Act, the process for constructing a truly Single European Market began with the aim of lifting all trade restrictions between the member states.

The European Union was formally established when the Maastricht Treaty came into force on 1 November 1993. The Treaty of Maastricht, which established the European Union, divided EU policies into three main areas called **pillars**.

The Three Pillars

1. The first or “Community” pillar is formed of economic, social and environmental policies.
2. The second or “Common Foreign and Security Policy” (CFSP) pillar is made of foreign policy and military matters.
3. The third or “Police and Judicial Co-operation in Criminal Matters” (PJCC) pillar cooperation in the fight against crime. This pillar was originally named “Justice and Home Affairs”.

In 2002, Euro notes and coins replaced national currencies in 12 of the member states.

The process of European integration has also received a boost with